

Payment terms cash impact - why Lux proposes net 30

Discussion draft for Charrette / Ralph Lauren. Billing: monthly percent-complete pay applications in sequence (comparable open-book TI) - not a 30/30/30/10 draw. Chart calendar follows that illustrative pay-app schedule. Cost-plus CM; not a lump-sum bid.

The bank problem

Lux pays trades about net 30 between monthly owner applications. Longer owner terms make Lux the bank for the build-out - financing open-book trade costs for weeks or months before the owner remits.

Comparable result (illustrative open-book TI pay apps)

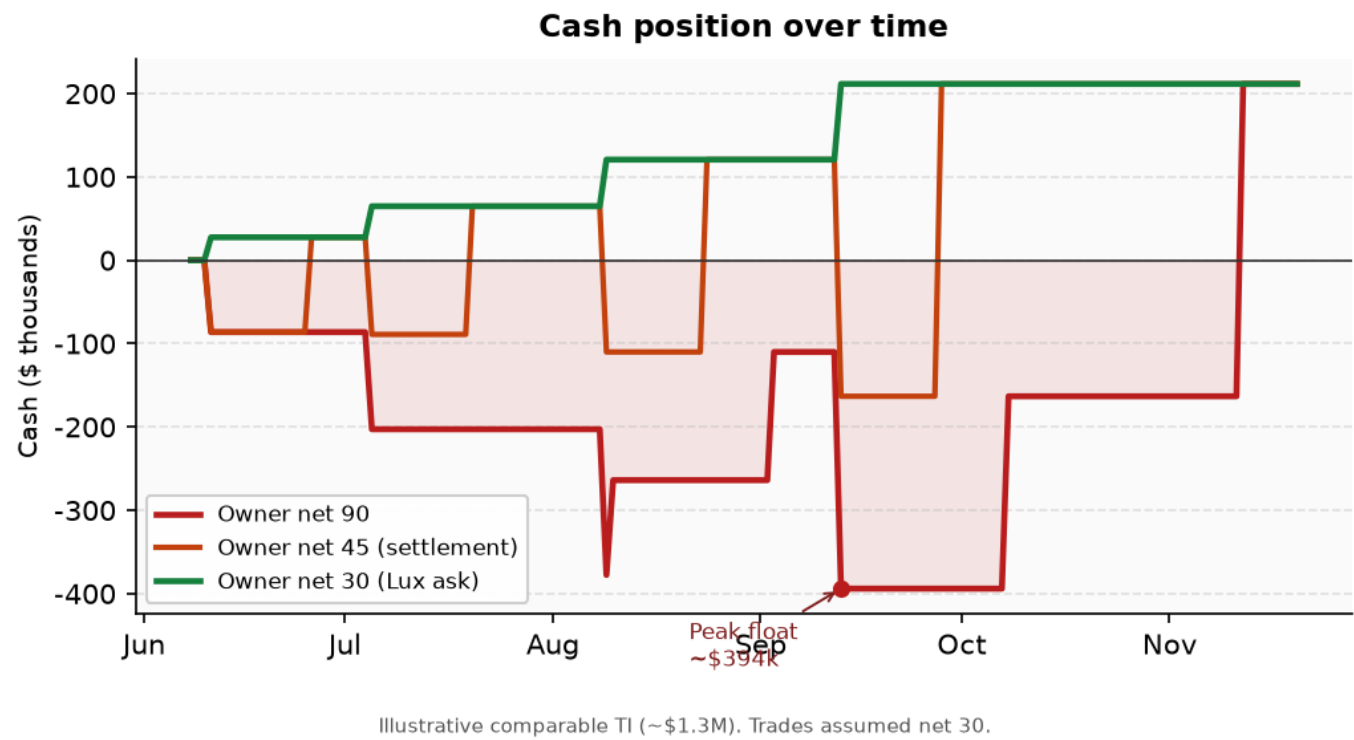
Owner payment terms	Modeled Lux cash position
Ninety (90) days	Peak float ~\$394,020 (multi-month trough)
Forty-five (45) days - settlement band	Peak trough ~\$163,210 (shallower)
Thirty (30) days - Lux ask	Stays above zero (no multi-month trough; ends ~+\$200k)

Ask

Lux proposes net 30 on each monthly invoice after a complete application. RL policy often runs net 90. Net 45 is a possible settlement band - not the opening ask. Vendors are assumed on net 30.

Not a commitment until executed. Strike fixed-price CM language; keep monthly percent-complete open book. Job-specific Exhibit L rates control.

Cash position over time (monthly PAs)



Month-end cash (modeled)

Month-end	Net 90	Net 45	Net 30
Jun 2026	-\$86,235	+\$27,573	+\$27,573
Jul 2026	-\$202,764	+\$64,831	+\$64,831
Aug 2026	-\$263,847	+\$120,751	+\$120,751
Sep 2026	-\$394,020	+\$211,544	+\$211,544
Oct 2026	-\$163,210	+\$211,544	+\$211,544
Nov 2026	+\$211,544	+\$211,544	+\$211,544

Month-end positions. Peak trough under net 45 (~\$163k) occurs mid-month between vendor pay and owner remittance - not always visible at month-end. Comparable open-book TI schedule; vendors assumed net 30.